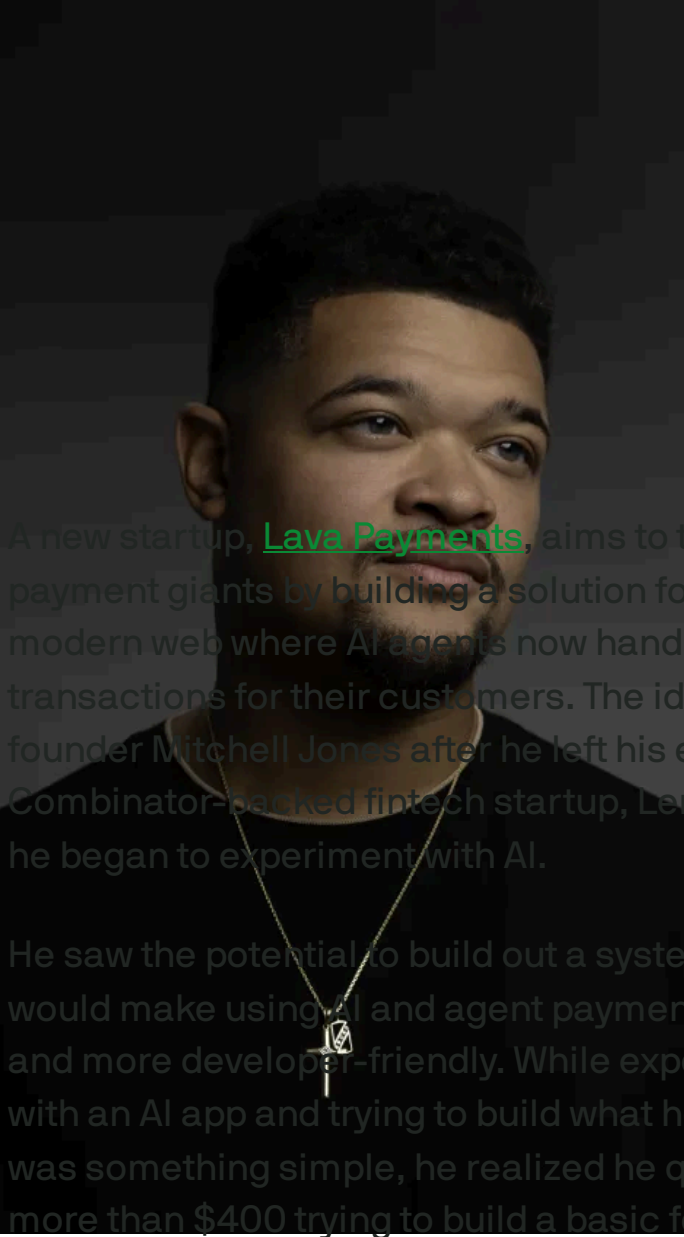


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STARTUPS



Payment platform Lava
raises \$5.8M to build
digital wallets for the
‘agent-native economy’

A portrait of Mitchell Jones, founder of Lava Payments, looking slightly to the right. He is wearing a dark t-shirt and a gold chain with a cross pendant.

A new startup, [Lava Payments](#), aims to take on payment giants by building a solution for the modern web where AI agents now handle transactions for their customers. The idea came to founder Mitchell Jones after he left his earlier Y Combinator-backed fintech startup, Lendtable, as he began to experiment with AI.

He saw the potential to build out a system that would make using AI and agent payments simpler and more developer-friendly. While experimenting with an AI app and trying to build what he thought was something simple, he realized he quickly spent more than \$400 trying to build a basic form-filling agent.

IMAGE CREDITS: JJ JUMOC-CASAS

“I kept running into the same issue,” he told TechCrunch. “I was using the same underlying models and tools again and again, but through different wrappers or platforms.” And each time, he had to start a new subscription, re-authenticate, and pay separately, “even though I was already paying for access to the core model.”

“That felt fundamentally broken,” he continued. “I didn’t want to keep rebuying access to the same thing under a different wrapper. What I wanted was a single wallet, one set of credits, and the ability to move between tools and providers without starting over every time so I could pay for what I was using.”

He decided to launch Lava Payments as a solution.

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Lava is a digital wallet that lets merchants use usage credits to facilitate transactions.

The idea is that one set of credits working across merchants and services makes it easier for autonomous agents to make payments without needing human intervention. It works like this: A merchant can enable the Lava wallet for their customers to use and upload (credits) money to. Once a customer does that, they can take that money and use it at any merchant that also accepts Lava and any of the foundational models, like GPT and Claude, on a “pay as you go basis,” Jones said.

So, rather than having to pay for each tool, a user buys a one-time usage credit that AI agents can simply charge as they perform various tasks. No more asking the user to approve transaction after transaction.

“Without Lava, agents can’t move smoothly through the internet because they constantly get blocked when it comes time to pay,” he said. He used Google as an example, saying every time a person opens Google Maps, they don’t have to pay Google for that map, as they’ve already paid Verizon and AT&T to access the internet.

On Wednesday, the startup announced a \$5.8 million seed round led by Lerer Hippeau.

Others in this space include startups like [Metronome](#).

“We see the world as very interconnected,” Jones said about what makes his product different. “What we’re really focused on is building [for the] agent-native economy.”

Born to a working family in Dayton, Ohio, Jones said his parents always told him the best way to get

- Lina Khan points to Figma IPO as vindication of M&A scrutiny
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ahead was to work hard, save money, and get a good education.

“You know, a lot of the things that most people are told,” he recalled, when speaking with TechCrunch.

Jones took that advice to heart. He got a good education (Yale), held some good jobs (Goldman, Meta), and then founded some companies (the fintechs Parable and Lendtable, the latter of which was YC S20).

Jones said he met his lead investors for Lava because he went to high school with [Will McKelvey, now an investor at Lerer Hippeau](#). He said McKelvey has been following his career for a while and always wanted to work together someday, and Lava Payments was that someday.

Others in the round included Harlem Capital, Streamlined Ventures, and Westbound. The fresh capital will be used for hiring, building products, and developing go-to-market strategies.

Overall, Jones is ready for Lava to be the “invisible layer that kind of powers the AI web,” he says, especially as AI agents find themselves more and more in the checkout line.

“We should be enabling agents to move, transact, and build without friction,” he said.

“We want to make sure that AI is something that can be used by every single person, even a kid from Dayton, like myself.”

The title of this piece was updated to properly reflect what the company does.

Topics: [AI](#) [Fintech](#) [Lerer Hippeau](#) [payments](#)

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Dominic-Madori Davis

Senior Reporter, Venture | [X](#)

Dominic-Madori Davis is a senior venture capital and startup reporter at TechCrunch. She is based in New York...

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AI

Skyfire lets AI agents spend your money

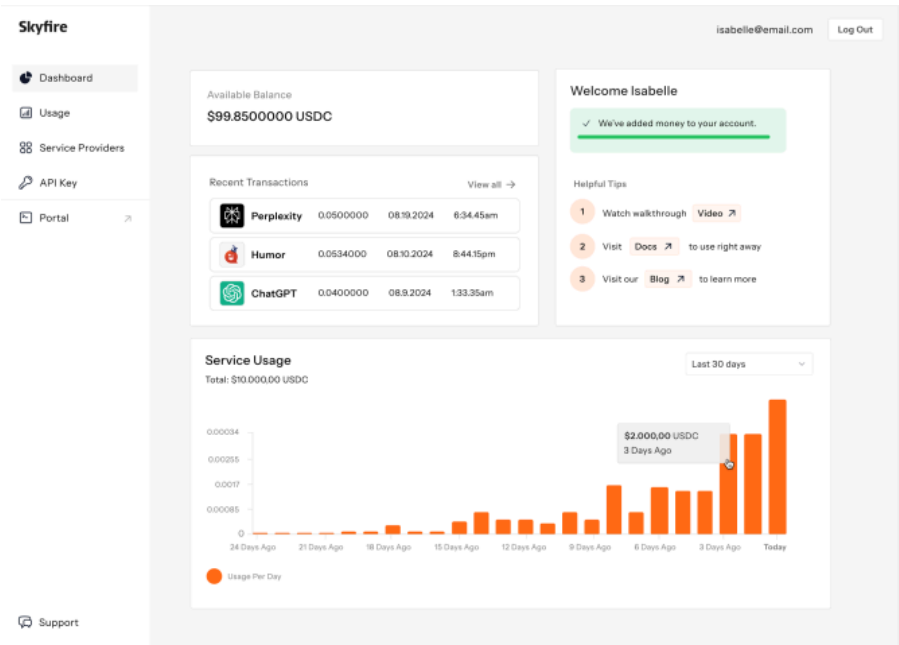
Maxwell Zeff — 4:00 AM PDT · August 21, 2024

IMAGE CREDITS: SKYFIRE

There’s a lot of hype about [the promise of AI agents](#) today, but payments are a huge limiting factor. Today, an AI agent might be able to plan a vacation for you independently, but a human has to step in when it’s time to input your credit card information. Skyfire Systems wants to change that.

Skyfire created a payment network specifically for AI agents to make autonomous transactions. Now, obviously, AI agents are hard to control today, so the idea of one tied to your bank account is terrifying. However, Skyfire uses a number of safeguards to prevent AI agents from overspending, making the whole thing a little less scary.

Skyfire assigns each AI agent a digital wallet with a unique identifier, where businesses can deposit a set amount of funds they want the agent to spend, so they don’t get unlimited access to a bank account. Skyfire also allows customers to set limits on how much an AI agent can spend in one transaction and over time. If an AI agent tries to overspend, it will ping a human to review it. Skyfire also offers a dashboard to view exactly how much, and where, their agent is spending.



SKYFIRE’S DASHBOARD TO TRACK AI AGENT SPENDING.

IMAGE CREDITS:SKYFIRE

Skyfire’s co-founder and CEO Amir Sarhangi [sold his last startup, Jibe](#), to Google, and the RCS messaging protocol Jibe helped pioneer became the standard for Android’s billion users. Now he’s trying to develop an open protocol to power payments in the AI era.

“AI agents can’t do anything if they can’t make payments; it’s just a glorified search,” said Skyfire co-founder and chief product officer Craig DeWitt in an interview with TechCrunch. “Either we figure out a way where agents are actually able to do things, or they don’t do anything, and therefore, they’re not agents.”

On Wednesday, Skyfire officially launched its payment network and announced \$8.5 million in seed funding raised from Neuberger Berman, Inception Capital, Arrington Capital, and other investors. (Arrington Capital is led by Michael Arrington, the founder of TechCrunch, who left the publication in 2011.)

Payments for agents

Notably, Skyfire doesn’t build the AI agents, but plenty of companies already are: They’re all trying to make sure agents don’t go rogue and send 4,000 printers to the office when the old one runs out of ink (ideally, just one). Even though Skyfire has added safeguards, the founders say that aligning AI agents to act responsibly is ultimately up to the companies behind them.

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Skyfire is solely focused on creating the payments network these agents can transact on, and did it using blockchain technology. The founders were early executives at the cryptocurrency startup Ripple, helping to build a cross-border payments network that processed more than \$50 billion during their time there.

Businesses can deposit and withdraw U.S. dollars from Skyfire, but under the hood, the platform is converting those dollars into a digital stablecoin. Skyfire uses USDC, a digital stablecoin pegged to the American dollar's value, and holds it in a wallet tied to that agent.

Skyfire collects 2% to 3% of every transaction to generate revenue but says verification services could be another source of revenue moving forward. As AI companies struggle [to generate returns on expensive models](#), it's possible more will turn to payments as a means to break even.

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AI agents on a shopping spree

In a beta test over the last two months, some AI agents have already been spending their companies' dollars with Skyfire, the founders tell TechCrunch.

Denso, a global auto parts manufacturer, created AI agents to source materials without the help of humans. These systems could find the materials Denso wanted to buy but required humans to step in at the end of the month and conduct a wire payment. Now Skyfire enables Denso's AI agents to work truly autonomously.

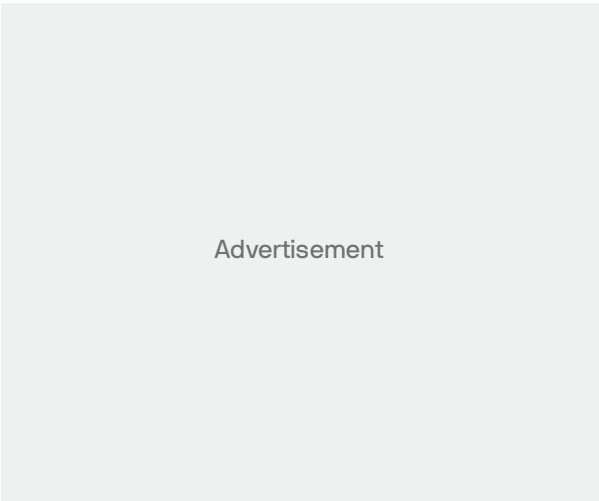
Another company already using Skyfire is Payman, which allows AI to pay humans for various tasks, kind of like Fiverr. With Skyfire's platform, Payman's AI agents can now hire and fulfill payments to contract workers completely autonomously, at least in theory.

For now, Skyfire is focused on B2B use cases for its payments network. But Skyfire's CEO says that's just the beginning.

"The protocol we built will be an open protocol that any company, even a competitor, can use," said Sarhangi in an interview. "We want this to be the thing everybody uses when it comes to payments in the AI world."

Skyfire's founders believe AI agents will fundamentally shift the way things are purchased on the internet. To buy something online today, humans fill out lots of personal information and select images of traffic cones to verify your identity. Skyfire hopes its payments network makes the interface obsolete, and your AI agent can one day just act as a secure intermediary between vendors and your bank account.

[payments network](#)



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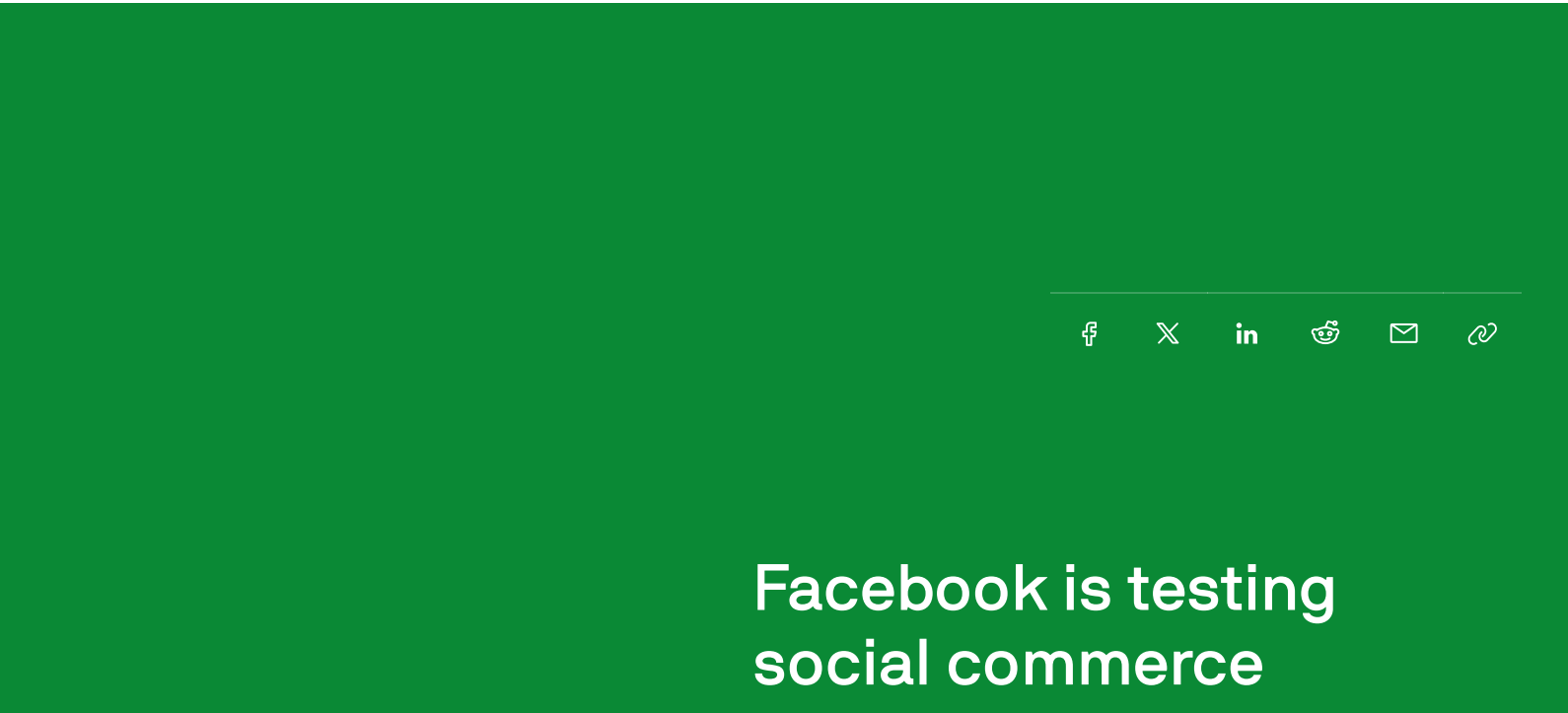


Maxwell Zeff
Senior AI Reporter | [X](#)

Maxwell Zeff is a senior reporter at TechCrunch specializing in AI. Previously with Gizmodo, Bloomberg, and MSNBC,...

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Facebook is testing
social commerce

payments in Southeast Asia

Jon Russell — 2:28 AM PDT · June 9, 2016

Facebook is expanding its focus on payments with a new trial in Southeast Asia that allows users to pay for products listed on Facebook Pages with just a few clicks.

The social network is running a trial in Thailand which allows users to make a payment to a Page owner without leaving the social network. Qwik, a product powered by Southeast Asia-based fintech company 2C2P, which raised a [\\$7 million Series C last year](#), allows users to make payment via a credit card, debit card or bank transfer online, according to numerous sources with knowledge of the trial.

Facebook and 2C2P both declined to comment.

The test might sound a little bizarre to anyone in the West, where the dominance of Facebook is under question thanks to the emergence of companies like Snapchat, but in Asia — China aside — the social network is an internet staple for most people. Indeed, Asia Pacific is its largest region with 566 million monthly users, [according to Facebook's latest data](#).

That social dominance in Asia also extends to commerce, with many small and independent retailers using Facebook Pages to build and engage

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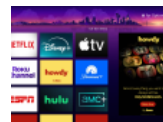
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MEDIA & ENTERTAINMENT



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their audience and, of course, sell products. It's difficult to track transactions on social, but [Page365](#), a Bangkok-based startup that helps small retailers sell products via social media, [previously estimated the industry](#) to be worth over \$500 million per year in Thailand alone.

That figure came from 2014, and the social network no longer enables its pages to be crawled to make such estimates, but [PWC reports that Thailand is the world's largest c2c](#) — consumer-to-consumer — commerce market with more than half of the people polled buying items from social networks.

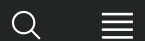
Typically, the process of buying from social — which is [mentioned in Mary Meeker's latest report](#): slide 106 — goes something like this:

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Buyer browses Facebook Page and finds an item they like

Buyer clicks the 'Message' button next to the product to express an interest in it via Facebook chat/Messenger

Seller/Page admin chats with buyer to check on stock and confirm order

Seller provides bank account details so that buyer can make a bank transfer for payment

Buyer leaves their house/office to go to the nearest ATM and wire the funds to the seller's account, buyer adds a note to the transaction with order details, address for delivery and perhaps a reference number provided by the seller

The goods are then prepared for delivery once the buyer's bank transfer is confirmed by the seller

It's a hugely cumbersome process that most people in emerging markets are forced to undertake. That's because few have internet banking, the small number who do own a credit card can't use it in this scenario, and cash-on-delivery isn't preferred by small merchants.

Details aside, the key point is that people are so keen to buy online that they'll jump through all manner of hoops to do.

The big problem for Facebook, however, is that many of these hoops don't belong to the social network.

Page365 co-founder Prathan ‘Pop’ Thananart told us that, among his company’s base of 25,000-plus retail partners, nearly all transactions start on one social network and finish on another.

“One finding that is consistent across all our merchants, aside from customers engaging in chat-and-haggle buying behavior, is where those conversions happen. Merchants report that 80 percent of transactions are carried out across two or more platforms — most notable Facebook and Line,” he said.

That could mean buyers and sellers connect on Facebook but agree the final steps and payment via Line, Thailand’s top chat app with 30 million users in the country. Or, as is increasingly happening, Instagram is the key ‘store front’ for social commerce sellers to find their customers, with deals completed at non-Facebook properties like [Shopee](#), the social commerce app from Singapore-based unicorn Garena.

This trial, which is more like alpha stage than even beta right now, is an early indicator of Facebook’s intent to keep all the processes of the social commerce transaction on its platform.

“While chat or ‘conversational commerce’ is the up-and-coming trend in the West, it’s already a reality in emerging Southeast Asia. In Thailand, for example, 33 percent of the total e-commerce spend is already going through Facebook and Instagram and ending on Line,” Sheji Ho, Group CMO of [aCommerce](#), a startup that provides e-commerce marketing and logistics services for retailers, told TechCrunch.

TechCrunch understands that Facebook is trialling Qwik with an unspecified number of top Facebook Pages in Thailand, some of which have multiple millions of fans. Once a user taps the link, it

redirects them to a new site where they can enter their credit/debit card details or provide their bank account which, with authorization, triggers a bank transfer like an ATM.

We've been in contact with a number of Facebook users who have successfully used the product this week, but we were unable to replicate the process ourselves.

We have seen screenshots of the transaction process but are not publishing them with this story since Page owners in the trial have signed NDAs and media coverage could impact their relationship with Facebook, which owns the platform that they are reliant on for a large portion of their online sales.

Multiple sources in Thailand's e-commerce space told us that Facebook is planning to widen the trials to other countries in Southeast Asia over time, but it picked Thailand first because of the large market for social media commerce.

Either way, this trial is the loudest signal to date of Facebook's interest in Southeast Asia and potentially other parts of Asia and emerging markets. The company has dabbled with commerce with [a feature to let users find local services](#) which is being tested in India and Indonesia, and, while the technology behind Qwik is hardly revolutionary, entering the payment space is a major move.

It isn't clear when the trial was started, the users we talked with began to notice it this week, but it plays into Facebook's other payments initiatives elsewhere in the world. The company has enabled peer-to-peer money transfers in the U.S., and most recently the UK. Those plays were almost certainly about raising user engagement rather than making

money, and this social commerce trial is similar respect, but with an Asian twist.

Facebook might not be the only social network company stepping into this space in Southeast Asia, however. Line, which [operates its own payment service](#) and [a shopping app](#) in some parts of the region, is also talking to small retailers with a view to launching its own new service, one source with knowledge of discussions told TechCrunch.

Southeast Asia is one of Line's most important geographies since Indonesia and Thailand are among its top four countries based on active user numbers. The Japanese company claims 218 million active users worldwide and [is reportedly planning an IPO this year](#).

Topics: [2c2p](#) [Asia](#) [Facebook](#) [Fintech](#)

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Jon Russell

Writer |

Jon Russell was a reporter for TechCrunch covering all things tech in Asia, in particular the major players in Chin...

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Butter raises \$7M to end ‘accidental’ customer churn due to payment failure

Mary Ann Azevedo — 9:20 AM PST · December 1, 2021

Vijay Menon, a statistician by trade, began his career at Microsoft.

IMAGE CREDITS:

CEO AND CO-FOUNDER VIJAY MENON / BUTTER

It was there that he realized there was an astounding number of subscriptions that failed to renew or even go through to begin with due to payment-related issues. He became intrigued by the problem, and solving it. Ultimately in 2016 alone, he helped the company recover over 10 million Xbox Live subscriptions, he says, resulting in more than \$100 million in recovered revenue.

In his subsequent roles at Dropbox and Scribd, Menon realized the problem of accidental payment churn was not exclusive to Microsoft. It was a challenge that plagued all B2B subscription and SaaS businesses.

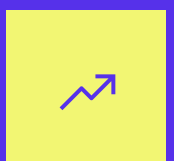
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“Every subscription company deals with this black hole,” he said.

Payment failure, in fact, is the among the biggest causes of customer churn and represents nearly half of all subscription churn. Even more alarming, Menon came to understand, the companies weren’t even aware of what was happening.

False declines are estimated to be a \$443 billion problem by the end of this year, according to [Cardinal Commerce](#)), resulting in millions of lost subscribers.

The accidental churn is often not just due to problems with renewals, where people get frustrated by failed attempts to charge their credit card, for example. It is also largely a problem at the sign-up process, especially in countries outside the U.S., where charges are often falsely declined due to being attempted in another country. To Menon, it was a massive market severely underserved by traditional payment service providers such as Stripe who are strong domestically, but in his view, were poor at clearing international payments in growing markets like Brazil, India and Mexico. Menon estimates that on average, 4% of subscription customers are lost monthly to legitimate payments failing.

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Consumers outside the U.S. might be clicking submit on a given transaction, but if they're using a card form that's configured for the U.S., they could be getting rejected, and “no one's really checking on what happens after the user drops off,” Menon said.

So in 2020, he teamed up with venture studio Atomic to found [Butter](#), a startup aimed at helping companies retain existing customers and sign on new ones by preventing this accidental payment churn. Using machine learning, Butter aims to end the churn by preventing drop-off from legitimate payments.

[Atomic has launched 14 startups in the last 12 months \(and they're getting funded\); here's how it works](#)

“We focus on two problems that can affect any subscription business, which is basically ‘how do I check out a payment upfront and make sure that payment actually goes through?,’ ” Menon told TechCrunch. “The other part is, what do we do when a payment fails?”

The San Francisco-based startup has raised \$7 million, largely from Atomic, to tackle the problem. In a year's time, it has also signed on about a dozen consumer subscription companies, including some large names (which he declined to reveal publicly), doing \$10 million to \$500 million in revenue — many of which have an international user base. It claims that it helps these companies find, on average, \$1 million of revenue per year.

Its revenue-sharing model is designed to align incentives with those of its customers. It charges a percentage of what it saves for its customers. For example, Menon estimates that a \$100 million ARR company would be able to see \$1 to \$4 million in ARR lift which is a lot, and a \$500 million ARR company, around \$2.5 to \$5 million.

An economy increasingly reliant on subscription models places new challenges on existing payment systems that are typically out of date, complicated, vary by country and constantly changing based on new fraud rules, according to Menon.

“Even massive companies like Netflix and Spotify who have invested significant internal resources – payments engineering teams – in this problem, struggle because the payment landscape changes so frequently,” Menon told TechCrunch. “The Butter payments intelligence platform was built to scout through obscure payments networks to find what is broken.”

Butter plans to use its new capital to do “top of the funnel optimization,” according to Menon. When a consumer checks out, there are about 128 different data elements that can be presented with every payload, he said.

“We’re investing into the capabilities that will be able to make decisions [around those elements] in real time so that these folks coming in through the funnel will have a much higher likelihood of that payment going through,” he added.

Long term, he said, the company aims to build an AWS, or operating system, for payments.

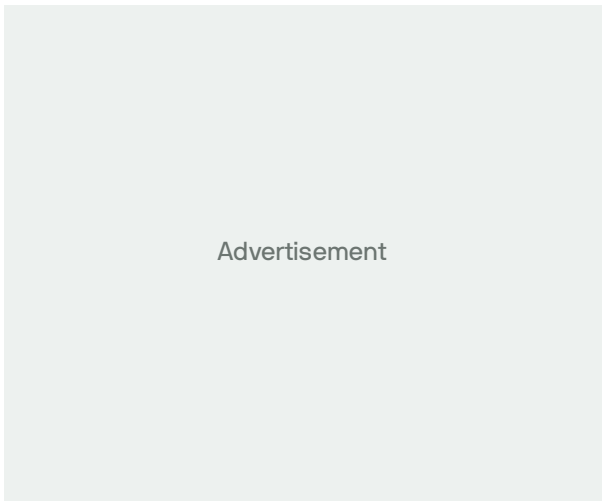
“We’re trying to build a connective tissue for the entire payments ecosystem. We sit above what we call the payment service providers so we’re not Stripe, we’re not Braintree, we’re sitting above them,” Menon explained. “We want to work with any company, regardless of what your payments stack is.”

It also, naturally, plans to do more hiring. Recently, [Bill Hoppin](#) joined the company as a co-founder and COO. Butter expects to have about 50 employees by the end of Q1 2022.

Jack Abraham, CEO and managing partner of Atomic, described Menon as an “exceptional” founder with unique firsthand experience inside the payments systems of some of the largest global consumer subscription businesses.

“We co-founded Butter with Vijay and the team to solve some of the most critical conversion and churn issues that all businesses face, large or small, and a short time in the company is off to an incredible start,” he wrote via-email.

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